REVISION QUESITIONS

1. RYAN AKIIKI Uganda Ltd is a family-owned wholesale business in central Uganda. The business is growing fast but faces challenges like poor management of working capital, delays in customer payments, supplier demands, and family conflicts. The management asked the senior accounts technician to prepare a presentation on the company's cash position.
   Below is an extract of the budgeted sales and purchases for quarters 1 and 2 of the year 2025. Amounts in shillings "000"

Details	Jan	Feb	Mar	April	May	June
Sales	100,000	80,000	90,000	110,000	100,000	120,000
Purchases	60,000	54,000	60,000	70,000	75,000	80,000
Vehicle purchase				7,500		

Additional information

i. 40% of the sales are made in cash, while 60% are on credit. The credit sales are collected as follows:
   - 20% in the month of sale,
   - 50% in the first month following the sale,
   - 20% in the second month following the sale, and 10% in the third month following the sale.

ii. 50% of the purchase is paid in the month of delivery and the balance paid in the following month.

iii. The cash balance at the end of the first quarter is Shs 20,000,000.

iv. Other monthly expenses include salaries and wages of shs 3,000,000, maintenance cost shs 2,000,000 while trading license of shs 10,000,000 is to be paid in May 2025.

v. ARYAN AKIIKI expects to receive Shs 1,500,000 from the Emyoga funds in June 2025.

vi. For the month ended 31st May 2025, dividends of Shs 35,000,000 will be paid out.

vii. Other funds to be received as donations from March, May and June 2025 are shs 10,000,000, shs 12,000,000 and shs 11,000,000 respectively.

viii. The business pays a monthly rent of Shs 3,500,000, which will increase to Shs 5,000,000 starting March 2025.

ix. The motor vehicle will be depreciated at 20% per annum on reducing balancing method.

x. Monthly Disposal of old motorcycles worth Shs 8,000,000 is expected starting in February 2025, with the proceeds reducing by 20% monthly.

xi. The business earns a monthly rental income of shs 2,000,000 in April 2025 from a tenant and is expected to increase by 200,000 in the following months.

xii. A loan of shs 30,000,000 was expected from Centenary Bank in Jan 2025. It will be repaid in four equal monthly installments, starting February 2025, with interest at 2% per month on the reducing balance method.

xiii. Personal cash withdrawals worth Shs 300,000 were planned to be made in Jan 2025 and May 2025.

Taking on the role of the senior account technician Required:

i. Prepare a Cash Flow Statement (cash budget) for the period, April – June 2025.
ii. Suggest measures that the business can undertake in case of a cash flow short fall.

2. BISAMBI BAKERY for the first three quarters of 2025.

i) The business had a cash surplus of Ugx24,000,000 and a cash deficit at the bank of Ugx8,000,000 by the end of the last quarter of 2024.

ii) Weekly cash sales were Ugx250,000 throughout the period.

iii) The bakery projected credit sales to be 50% of the total monthly cash sales. Payments were to be made in the following quarter.

iv) Cash purchases per day was projected at Ugx15,000 for all the days in the three Quarters.

v) Weekly credit purchases were projected to be Ugx100,000

vi) The business expects a cash donation of Ugx8,000,000 in the second quarter and donation of 9 computers worth Ugx15,600,000 in the last quarter.

vii) The business plans to acquire a loan of Ugx12,000,000 in the first quarter. The principal and interest are to be paid back in three equal instalments each quarter one instalment. Interest on loan is projected at 5% per annum on straight line method.

viii) The business expects to make a quarterly donation of bread to the nearby orphanage home amounting to Ugx1,000,000.

ix) Monthly insurance premium payment of Ugx150,000 was to be paid to PAX insurance company.

x) The business expects purchase of a pickup to support in delivery of business products at shs16,000,000. A down payment of Ugx4,000,000 is to be effected in the first quarter and the balance in instalments of 3:1 in the following quarters. The expected monthly depreciation is 10%.

xi) Monthly commission income is projected at Ugx5,000,000 in the first quarter but this is to increase by 30% after the first quarter.

xii) The skilled workers are paid a monthly salary of Ugx100,000 for each of the 8 workers.

xiii) The sales persons are paid a weekly allowance of Ugx5,000 for all the 9 months period.

xiv) Expected fixed cost payments per quarter are estimated as follows

Electricity Ugx800,000
Water Ugx100,000

xv) The projected incomes for each of the quarters is

Rent income Ugx2,000,000
Discount received Ugx600,000

Required;

a) Prepare a cash budget based on the three quarters of the financial year 2025.
b) Of what importance is the cash budget to the business?
c) Advice the business on how to manage the funds basing on the cash position.

3. The following relates to KAZUNGU BISCUITS FACTORY for the first three quarters 0f 2025

i) The business has a cash surplus ugx24,000,000 and a cash deficit at the bank of ugx8,000,000by the end of the last quarter of 2024

ii) Daily credit sales were worth ugx2,0000,000

iii) Weekly cash sales were ugx250,000 throughout the period.

iv) The bakery projected credit sales to be 50% of the total monthly cash sales . Payments were to be made the following quarter

v) Weekly credit purchases were projected to be ugx100,000.

vi) The business expects a cash donation of ugx8,000,000 in the second quarter and donation of two machines worth 20,000,000 in the last quarter.

vii) The business plans to acquire a loan of ugx12,000,000 in the first quarter. The principal and interest are to be paid in three equal installments each quarter, one installment. Interest on loan is projected at 5% P.a on straight line method payable quarterly.

viii) The business expects to make a quarterly donation of 20 boxes of biscuits to Sannyu Babies home worth ugx2,000,000.

ix) Monthly insurance premium payment of ugx150,000 was to be paid to SWICO insurance company.

x) The business expects purchase of a pick up to support in delivery of business products at ugx16,000,000. A deposit of ugx4,000,000 is to be effected in the first quarter and the balance in installments of 3:1 in the following quarters. The expected monthly depreciation on the pick up is ugx200,000.

xi) Monthly commission income is projected at ugx5,000,000 in the first quarter but this is to increase by 30% after the first quarter.

xii) A monthly salary of ugx100,000 for each of the 8 workers was expected to be paid.

xiii) The sales persons are paid a weekly allowance of ugx5,000 for all the 9 months period.

xiv) Expected fixed cost payments per quarter are estimated as follows;

Electricity ugx800,000
Water ugx100,000.

xv) The projected incomes for each of the quarter is

Rent income ugx2,000,000
Discount received ugx600,000

xvi) The business expected thefty of cash by workers worth5,000,000 in the third quarter .

Required:

a) Prepare a cash budget based on the three quarters of the financial year 2025
b) Of what importance is the cash budget to the business.
c) Advise the business on the use of surplus to the business

4. The following projects related to Emma Enterprises during the month of June-September 2014

- On June 1st 2014 the enterprise had a cash balance of (40,000,000) shillings
- The business expected cash sales of sh 8,000,000 per months
- Credit sales were projected at shs 2,500,000 per months for which 60% payment were to be made in the following month and the balance after one month from the month of sale for all sales.
- Rent income was to increase by 10% monthly.
- Rent to be received on June 1st 2014 was shs 600,000
- Monthly cash purchase were projected at shs 7,000,000
- Salary bill of shs 3,000,000 was to be paid monthly
- Machinery worth shs 6,000,000 was to be bought in June and cash payment of shs 3,800,000 made and the balance to be paid in installments of 30% and 40% in the next months.
- The business was to get a loan of shs 5,000,000 in the months of July
- 5% per annum interest on loan was to be paid monthly after one month grace period
- Credit purchases of shs 3,000,000 were made in June. The business has a policy of paying for credit purchases in 3 equal monthly installments after one month.
- The business has a policy of paying a 2% sales commission monthly on cash sales of every month.
- The business was to sell some old furniture worth shs 800,000 in June, shs 500,000 cash was received and the balance was to be received in the next month.
- The business is to clear any cash short fall using a debenture at the beginning of the next month.

REQUIRED:

(a) Prepare a cash flow statement for the months of June, July, August and September 2014.

(b) Comment on the Net cash position of Emma Enterprises for four months.

(c) Suggest measures that Ema Enterprises should undertake to avoid deficits in the cash flow.

5. a) Napoleon Kagezi is an individual who owns several residential and commercial rental properties. For the year ended 31st December 2025, his income and expenses were as follows:

- He earned rental income from a commercial property with six (6) units, each rented at Shs 700,000 per month.
- During the year, two units were unoccupied for two months.
- One of the tenants made an advance payment of 15 months' rent covering the period 1st January 2025 to 31st March 2026.

The Income Tax Act provides that:

- There is a rental income threshold of Shs 235,000 per month.
- The annual rental tax rate is 12% on chargeable rental income. Required

Determine Kagezi's

i. Gross rental income
ii. Chargeable income
iii. Rental tax liability
iv. Net rental Income for the year ended 31st Dec 2025.

b) The following VAT–exclusive transactions were made by a VAT–registered business in 2024:

- Nakato Electronics imported television sets from Dubai worth Shs 20,000,000. Nakato also paid Shs 500,000 to a VAT–registered transporter to deliver the TVs from the port to their warehouse.
- Nakato Electronics sold the TVs to Bright Vision Ltd at a 20% mark-up on the total cost. They also allowed Bright Vision a trade discount of 5% on the VAT- exclusive price.

- Bright Vision Ltd sold all the televisions to customers at a 25% mark-up on their net cost.

The VAT rate is 18%. Required:

i. Compute VAT chargeable at each stage.

ii. Determine the **final price** customers paid to Bright Vision Ltd (Inclusive of VAT).

c) Mr. Steven Kabuga and his sister, Miss Sharon Kabuga, lost their jobs in 2021 after the companies they worked for wound up due to the COVID-19 lockdown complications. They incorporated a company, Kabuga Glassware Limited, where they are joint directors. They mobilized their resources and decided to set up a glass making factory in Namanve Industrial Area, intending to import machinery from China. They also plan to obtain a loan from their bankers to supplement their savings.

The other expenses likely to be incurred are as follows:

- Freight to Mombasa: USD 600
- Marine insurance to Mombasa: USD 550
- The manufacturer is located inland, and it will cost USD 1,250 to purchase the machinery.

The following information may be useful:

i. Upon examination of the transaction by customs officials, it was established that the exchange rate at the time of import was USD 1 = Shs 4,100.

ii. Tax rates are as follows:
- Import duty: 10%
- Excise duty: 15%
- Value Added Tax (VAT): 18%
- Withholding tax: 6%

Infrastructural levy: 1.5%

Required:

Advise the directors of Kabuga Glassware Limited on the total taxes payable to import the machinery.

d. The following information relates to four employees of UMAM Ltd, a Ugandan power distribution company listed on the Uganda Stock Exchange, for the year ended 31st December 2024.

Employee A: Mr. Khumalo Xhosa

- A South African engineer employed as Director of Operations, effective 1st January 2024, for a four-year contract.
- Monthly gross salary: Shs 900,000, paid into his Ugandan bank account.
- Housing allowance: 15% of his annual basic salary, paid into his Ugandan bank account.
- Additional benefit: The company incurred Shs 9.6 million during the year on meals and entertainment at a restaurant in Kololo, exclusively for heads of department and senior managers.

Employee B: Ms. Aisha Nansubuga

- Ugandan national employed as a Security Guard.
- Monthly gross salary: Shs 200,000.
- Provided with free accommodation by the company in a house costing Shs 1,200,000 per year in rent.
- Receives a transport allowance of Shs 10,000 per day. She works for 8 days each month.

Employee C: Mr. Robert Okello

- Ugandan national employed as IT Systems Manager.
- Monthly salary: Shs 10,000,000.
- Provided with a company car, with a taxable benefit assessed at Shs 8,400,000 per annum.
- Receives a lunch allowance of Shs 500,000 per month.

Employee D: Ms. Grace Namutebi

- Ugandan national employed as Customer Relations Manager.
- Annual salary: Shs 2,772,000.
- No allowances provided, since her contract is still new. Required:

For each of the four employees, compute the annual PAYE (tax liability) in accordance with the Ugandan income tax rules.

RATES OF TAX
Resident Individuals

Chargeable income	Rate of tax
Not exceeding Shs 2,820,000 (Shs 235,000 pm)	Nil
Exceeding Shs 2,820,000 (Shs 235,000 pm) but not exceeding Shs 4,020,000 (Shs 335,000 pm)	10% of the amount by which chargeable income exceeds Shs 2,820,000 (Shs 235,000 pm)
Exceeding Shs 4,020,000 (335,000 pm) but not exceeding Shs 4,920,000 (Shs 410,000 pm)	Shs 120,000 (10,000 pm) plus 20% of the amount by which chargeable income exceeds Shs 4,020,000 (Shs 335,000 pm).
Exceeding Shs 4,920,000 (Shs 410,000 pm)	(a) Shs 300,000 (Shs 25,000 pm) plus 30% of the amount by which chargeable income exceeds Shs 4,920,000 (Shs 410,000 pm) and (b) Where the chargeable income of an individual exceeds Shs 120,000,000 (Shs 10,000,000 pm) an additional 10% charged on the amount by which chargeable income exceeds Shs 120,000,000 (Shs 10,000,000 pm).

Non-resident Individuals

Chargeable income	Rate of tax
Not exceeding Shs 4,020,000 (Shs 335,000 pm)	10%
Exceeding Shs 4,020,000 (335,000 pm) but not exceeding Shs 4,920,000 (Shs 410,000 pm)	Shs 402,000 (Shs 33,500 pm) plus 20% of the amount by which chargeable income exceeds 4,020,000 (Shs 335,000 pm).
Exceeding Shs 4,920,000 (Shs 410,000 pm)	(a) Shs 582,000 (Shs 48,500 pm) plus 30% of the amount by which chargeable income exceeds Shs 4,920,000 (Shs 410,000 pm) and (b) Where the chargeable income of an individual exceeds Shs 120,000,000 (Shs 10,000,000 pm) an additional 10% charged on the amount by which chargeable income exceeds Shs 120,000,000 (Shs 10,000,000 pm).

6. Kiwato purchased electrical appliances in May 2025 at shs.40,000,000 (VAT exclusive) and sold them at shs.59,000,000 (VAT inclusive) in June 2025. Using 18% VAT rate;

Determine the VAT Liability

(b) The following VAT exclusive transactions were carried out by VAT registered businesses in Nsangi Town in the month of October 2024.

i) Kiwato Electronics imported electrical appliances from Japan worth Ugx40,000,000
ii) Kiwato electronics sold the consignment to Bisambi Electrical Center at a mark-up of 25%

iii) Bisambi Electrical Centre sold the goods to Nnyashi the Final consumer at a mark-up of 40%

Required

By using a VAT rate 18%

i) Compute VAT chargeable at each stage

ii) Determine the total sales value to the final consumer inclusive of VAT

(C) In the month of May 2025 COW DUNG bought stock worth Ugx44,250,000 and sold it at Ugx51,625,000 both inclusive of VAT

i) Determine the VAT paid to URA using 18% VAT rate

ii) Compute the Net sales value VAT exclusive

(d) MBUZI GOAT earned the following annual incomes for the year 2022

Employment	ugx 20,000,000
Profits from business	ugx 12,000,000
Commission Income	ugx 1,900,000
Sale of property	ugx 6,000,000
Increase income received	ugx 800,000

Addition information

Tax exempt income is 8% of the total income while 10% of the gross income is a provision for expenses and losses

Calculate

i) Gross income

ii) Taxable income

iii) Tax liability using the tax segment below

STAGE	Chargeable income	Tax Rate
4	Exceeding ugx.4,920,000	Ugx 300,000 +30% of the amount by which chargeable income exceeds ugx .4,920,000

(e) MEE, BEE and MOO are employees of KIRAALO construction company and their annual salaries are Ugx1,560,000 4,800,000 and 132,000,000 respectively. All employees are entitled to housing allowance, medical allowance and airtime allowance of 10%,5%, and 2% respectively on each employee's monthly salary. BEE took an advance of UGX.50,000 for the current month's salary. All employees are given food basket and group meals amounting to UGX 60,000 monthly.

Using the current monthly PAYE rate provided below;

STAGE	MONTHLY INCOME	TAX RATE
1	Not exceeding ugx .235,000	Nil(zero)
2	Exceeding ugx 235,000 but not exceeding shs 335,000	10% of the amount which chargeable income exceeds ugx 235,000
3	Exceeding ugx 335,000 but not exceeding ugx 410,000	ugx 10,000+20% of the amount by which chargeable income exceeds ugx 335000
4	Exceeding ugx 410,000	a) ugx 250,000 plus 30% of the amount by which chargeable income exceeds ugx 410,000 b) b) Where chargeable income exceeds ugx 10,000,000 and additional 10% is charged on the amount exceeding ugx 10,000,000

Required:

1)Determine each employee's PAYE for the current month.

2)Compute MOO's net income after taxation (Disposable income)

(f) Mugezi and Musiru are in a partnership who own rental houses in Kazo town and their ratio in relation to capital contribution is 2:1. In the year 2023, they earned monthly rental income of ugx6,600,000 and incurred expenses on houses renovations of ugx 1,750,000. One of their tenants took off with unpaid 2 months' rent amounting to ugx 400,000

The income Tax Act provides that;

I. Allowable deduction for threshold Ugx. 2,820,000
II. The rental tax rate is 12% of chargeable rental income.

Required:

Compute the rental income tax paid by each partner to URA for the year 2023.

g) KINAWOLOVU property consultants own KINAWOLOVU PLAZA in Kalagi town where they earned rental income of Ugx, 200,000,000 for the year 2025.

The company incurred expenses for security of Ugx. 16,000,000, utilities Ugx. 24,000,000 and renovation Ugx. 14,000,000 during the year.

- Given that allowable deduction for expenses is 50% of gross annual income.
- Rental tax rate is charged at a rate of 30%.

Determine the rental tax payable by the company in the year 2025.

h) MASAVU ONINA is a business lady who owns and runs several businesses in down town in Kampala city. All her businesses make annual turnover less than Ugx. 150,000,000. For the year ending June 30, 2024, the following records were obtained from her three businesses.

I. A boutique on Ham towers reported annual turnover of Ugx. 75,000,000
II. A phone shop on Mutaasa Kafeero reported annual turnover of Ugx. 130,000,000
III. The fruits kiosk in the new taxi park reported annual turnover of Ugx. 36,000,000 but unfortunately it does not keep records of business transactions.

Using the tax structure below, determine the tax payable by MASAVU ONINA for each of her businesses and the total tax payable for the year ending June 2024.

Small business tax payers.

Gross Turnover	With records	Without records
Not exceeding ugx. 10 million	Nil	Nil
Exceeding ugx. 10 million but does not exceed shs. 30 million per annum.	0.4% of annual turnover in excess of ugx. 10 million	ugx. 80,000
Exceeding ugx. 30 million but does not exceed ugx. 50 million per annum.	ugx. 80,000 + 0.5% of annual turnover in excess of ugx. 30 million	ugx. 200,000
Exceeding ugx. 50 million but does not exceed shs. 80 million per annum.	ugx 180,000 + 0.6% of annual turnover in excess of ugx. 50 million	ugx. 400,000
Exceeding ugx. 80 million but does not exceed ugx. 150 million per annum.	ugx. 360,000 + 0.7% of annual turnover in excess of ugx. 80 million	ugx. 900,000

i) KULYA BULI restaurant earned gross income of Ugx. 90,000,000 for the year 2024. Rent paid was ugx. 22,000,000 while 18,000,000 was spent on utilities. The director spent ugx. 6,000,000 to pay school fees for her daughter Martha. ugx. 4,000,000 to buy a suit for her beloved husband and traffic fines due to over driving costed ugx. 8,000,000.

Calculate the chargeable income and corporation tax payable using 30% tax rate.

j) Lujuuju imported wine from Galilaya at a cost of 3800 dollars, insurance 300 dollars and freight 1800 dollars. At the time of importation, the exchange rate was 1 US dollar to ugx 4000. Import duty rate 25%, Excise duty 60% VAT 18%, withholding tax 6%, infrastructural levy 1.5%.

Determine the relevant custom taxes.

7. Kayondo Tom is a trader in Kawempe Kampala city who deals in electronics. In the month of January 2025, carried out the following transactions

Goods	Purchases without VAT (ugx)	Sales with VAT (ugx)
Flat irons	1,200,000	3,000,000
Extension cables	800,000	2,000,000
Television sets	30,000,000	70,000,000

Using Output – Input method

i) Calculate Kayondo 's VAT payable for each good
ii) Compute the total VAT payable to URA .

b) In the same year he imported electronics from China at a cost of US$4,000, Insurance at US$2,000 and Transport US$1,000. This attracted an import duty of 25%, Excise duty of 60%, VAT of 18%, Witholding tax of 6%, and Environmental levy of 0.5%. Given exchange rate 1US$ = Ugx4,000. Show the total taxes he paid to URA.

c) He also owns two grades of rental houses in Kawempe town where he received income as follows;

GRADE	NUMBER OF HOUSES	RENT CHARGED PER MONTH
GENERAL	10	150,000
SPECIAL	5	500,000

Given that the rental income tax rate is 12% and threshold is ugx2,820,000. Compute the rental income tax payable to URA.

8. KAM holdings Ltd employs Abasi, Akram, Aiaha, Ukasha and Nabirah earning monthly income of shs.300,000, shs.400,000, shs.580,000, shs.610,000 and shs.700,000 respectively.

Monthly income (Shs)	**Tax liability**
0- 235,000	Nil
235,000 – 335,000	10% of the amount by which chargeable income exceeds shs. 235,000
335,000 – 410,000	Shs. 10,000 plus 20% of the amount by which chargeable income exceeds 335,000.
410,000- 10,000,000	Shs. 25,000 plus 30% of the amount by which chargeable income exceeds shs,. 410,000

(a) Calculate the income tax payable by:
(i) Abasi
(ii) Akram
(iii) Aisha
(iv) Ukasha
(v) Nbirah

(

(b) Given the Value Added Tax (VAT) rate as 18%, Calculate the VAT charged at each stage in the table below:-

Stage	Activity	Purchase price (shs.	Selling price (shs)	VAT payable (shs)
(i)	Producer	80,000,000		
(ii)	Producer to wholesaler	80,000,000	96,000,000	
(iii)	Wholesaler to retailer	96,000,000	120,000,000	
(iv)	Retailer to final	120,000,000	160,000,000	

	consumer			
(v)	Final consumer	160,000,000		

d) Otto Enterprises hires out some rental houses where it operates from and it collects monthly rental income of shs 80,000 per house from four houses, Use Shs 2,820,000 as tax free allowance and 12% as the rental tax rate.

Determine

(a) Gross annual rental income.
(b) Net rental income.
(c) rental tax liability paid to URA

9. The following information was extracted from the books of **Mugisha Traders Ltd** for the year ended **31st December 2024**.

Details	Dr	Cr.
	Shs	Shs
Sales		9,800,000
Premises	4,800,000	
Furniture	500,000	
Sales Returns	600,000	
Machinery	2,800,000	
Provision for depreciation on:		
Machinery		100,000
Premises		200,000
Opening inventory	1,200,000	
Purchases Returns		36,000
Debtors	1,200,000	
Provisions for bad debts		200,000
Cash	148,000	
Purchases	5,564,000	
Salaries and Wages	700,000	
Discount Allowed	150,000	
Rent and Rates	12,000	
Advertising	208,000	
Insurance	76,000	
Sundry Expenses	144,000	
Discount Received		90,000
Creditors		860,000
Bank Overdraft		936,000
Capital		4,000,000
Bank loan		2,000,000
Drawings	120,000	
Total	18,222,000	18,222,000

Additional information

- Closing stock shs 500,000
- Provision for bad debts 10% of total debtors
- Accrued salaries and wages shs 40,000
- Prepaid sundry expense shs 44,000
- All assets depreciate at a rate of 4% on reducing balancing method;

Required:
Compute and interpret the following ratios for Mugisha Traders Ltd for the year ended 31st December 2024:

i. Gross Profit Margin
ii. Net Profit Margin
iii. Rate of stock turn over period in days (assume 366 days in a year)
iv. Current Ratio
v. Salaries expenses ratio
vi. Acid Test Ratio (Quick Ratio)
vii. Long term Debt-to-Equity Ratio
viii. Return on Capital Employed (ROCE)

10. The Trial Balance below was extracted from the books of **GYOKEREES BRIDALS LIMITED** as at 31/12/2024

DETAILS	DEBIT (UGX)	CREDIT (UGX)
Purchases and sales	25,000,000	40,000,000
Returns	500,000	400,000
Stock 1 January 2024	9,500,000	
Electricity	1,000,000	
Commission received		1,500,000
Rent incomes		2,500,000
Salaries and wages	2,500,000	
Advertising	300,000	
Insurance	700,000	
Discounts	150,000	200,000
Furniture and fittings	10,000,000	
Motor vehicle	1,450,000	
Drawings	1,800,000	1,555,000
Debtors and creditors	200,000	
Bad debts		
Bank balance		1,300,000
Provision for bad debts		150,000
Bank loan		1,000,000
Capital		9,495,000
T0TAL	58,100,000	58,100,000

Additional information as at December 31.2024

i. Stock was valued at Ugx5,000,000
ii. Electricity accrued Ugx500,000
iii. The provision for bad debts should be charged at 5% on debtors
iv. Prepaid insurance Ugx200,000
v. Commission outstanding Ugx300,000
vi. Of the rent income received, Ugx400,000 is for the year 2025
vii. Depreciate all fixed assets by 10% on cost
viii. Unpaid salaries amount to Ugx250,000

Required to;

a) Calculate
   i) Turnover
   ii) Net purchases
   iii) Cost of sales
   iv) Gross profit
   v) Net profit
   vi) Working capital
   vii) Capital employed
b) Computer and interpret
   i) Gross profit mark up
   ii) Return on capital employed
   iii) Current ratio
   iv) Holding period
   v) Leverage ratio

vi) Credit period
vii) Fixed assets turnover
viii) Inventory turnover

11.(a)
The following trial balance relates to Ssemwezi enterprises as at 31st December 2022

Details	Dr (Shs)	Cr (Shs)
Sales		11,000,000
Purchases	6,000,000	
Capital		21,650,000
Buildings	9,000,000	
Bank balance	8,000.000	
Furniture	1,200,000	
Sales returns	100,000	
Accounts payables		1,800,000
Carriage on sales	200.000	
Carriage on purchases	100.000	
Salaries and wages	800.000	
Stationery	230.000	
Water bills	50,000	
Insurance	150,000	
Motor vehicle	1,000,000	
Accounts Receivable	600,000	
Cash in hand	350,000	
Drawings	200,000	
Stock	370,000	
Land	7,100,000	
Debentures		800,000
Purchases returns		200,000
Total	35,450,000	35,450,000

Adjustments
(i) Stock as at 31st December 2022 shs400,000
(ii) Unpaid water bills Shs.10.000
(iii) Accrued salaries and wages Shs. 120,000
(iv) Un used stationery Shs. 6000
(v) Depreciate motor vehicle and furniture at a rate of 5% and 10% per annum respectively.

a) Calculate
i) Net purchases
ii) Cost of sales
iii) Gross profit
iv) Net profit ratio
v) Non current assets turnover

b) Compute and interpret the ratios
   i) Salaries to turn over ratio
   ii) Average payment period to creditors in days
   iii) Average collection period from debtors in days
   iv) Stock holding period in weeks.

12. **WALDAH DAMAGE ENTERPRISE LTD**

TRADING, PROFIT & LOSS ACCOUNT.

FOR THE YEARS ENDED 31/12/2023/2024

DETAILS	2023	2024
Sales	800,000	1,000,000
Less cost of sales	450,000	370,000
Gross profit	350,000	630,000
Add income	50,000	70,000
Gross income	400,000	700,000
Less expenses/loss		
Administrative expenses	150,000	200,000
Net profit	250,000	600,000

Note: Purchases shs. 350,000, Opening stock shs 200,000 (2023)

WALDAH DAMAGE ENTERPRISE LTD
BALANCE SHEET
AS AT 31ST//2023/2024

	2023	2024		2023	2024
Share capital	200,000	300,000	Fixed Assets		
Profit	250,000	500,000	Building	400,000	400,000
Creditors	150,000	100,000	Current Assets		
Bank loan	70,000	50,000	Stock	100,000	60,000
	670,000	850,000	Debtors	70,000	390,000
				570,000	850,000

Compute and interpret the following for the 2 years

1. Gross profit
2. Rate of stock turn
3. Net profit ratio
4. Quick asset ratio
5. Working capital Ratio/Current ratio
6. Rate of return on share capital employed
7. Mark up

8. Debtors collection period
9. Number of days stock was held before selling
10. Debt of owner's equity (Gearing ratio)
11. Fixed assets Turnover